

Chapter 3: Interdependence and the Gains from Trade

- **Interdependence** refers to how we **rely on people all over the world** to provide us with goods, and in return provide something they want.
- **Absolute advantage** is the ability to produce a good using **fewer inputs** than another producer.
- **Comparative advantage** is the ability to produce a good at a **lower opportunity cost** than another producer.
- **Imports** are goods produced abroad and sold domestically
- **Exports** are goods produced domestically and sold abroad